



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Policy on Risk Management System

Introduction:

To manage the risk in the security Market for the better survival of clients as well as company, we present our above Policy framework which also plays important roles for better and effective Compliance and Comprehensive Management of risk and effective branding of the company in the Market. Risk management is an important concept that many employees, managers, and stakeholders refer to when they are concerned about the effects of a certain move on reaching key objectives. Risk management is important because it gives the ability to figure out methods for which events can be managed, especially those events that may have an adverse impact on the financial or human capital of the organization. By being able to assess and identify risk, it becomes easier for one to prevent it from occurring, or to quickly address adverse events if and when they do occur.

The Exchanges as well as SEBI has laid down various Rules, Regulations, Bye Laws and guidelines that are to be followed while transacting on an Exchange. As part of our due diligence and risk management we, Dalal & Broacha Stock Broking Pvt. Ltd. through this document has framed out various policies and procedures under the said Rules, Regulations, Bye-laws and guidance with respect to our dealing with the clients for securities market transactions.

All clients are required to take note of the said policies and procedures given here below and act accordingly

Policies and Procedures

We do not encourage speculative trading. As such, almost all our Clients do delivery based trades only. As a result 90% of turnover is delivery based turnover. Most of our 90% Clients opened trading as well as demat account with us. It is an easy access & keep the watch on every transaction done by the Client



1. Refusal of orders for Penny Stocks:

- (a) Following type of scrips are categorized under the Penny Stock;
- Scrips which are quoting at less than face value on any of the Exchanges.
 - Scrips appearing in the list of illiquid securities issued by the Exchanges periodically.
- (b) We shall not entertain orders from any of the client for transacting (either buying or selling) in any penny/illiquid stocks. However, it would be considered on case to case basis, which shall be at our sole discretion only.
- (c) In case any client wants to sell the penny stock already held by them in a Demat account, the same shall be allowed on a case to case basis, at our sole discretion.
- (d) Under the above circumstances, the client will have to provide a copy of their Demat Holding wherein the said penny stock is mentioned to be held by the client along with a valid reason for sale of such penny stock.

2. Exposure Limit

- (a) Under the risk management activity, the clients registering their name for trading on the Exchanges through us will have to provide their financial details with the supporting proof, if required which will be scrutinized by risk managers and accordingly the respective clients will be provided with a fixed limit for their trading activity called the Exposure Limit.
- (b) According to the limit provided to the client, they can undertake transactions only upto that amount and beyond this no order will be accepted by the dealer. End of day the exposure given to clients and APs/Remisiers are monitored by Directors and they give instruct to the APs /Remisiers what to be done with clients exposure for further business.
- (c) Following is the criteria for granting of an Exposure Limit to a client;

Cash Segment:-

When Client ledger has a debit balance (that is, the client owes money to us), no further securities can be purchased until debit is cleared. From a risk management perspective, exposure based and/or margin based limits may be given to the clients as decided by RMS. Limits will be given on the basis of ledger balance and/or collateral / securities of the client lying with us valued after haircut. However, on a case to case basis, excess limits may also be allowed.



Derivative Segment:- (Not Active)

- Margin based limits will be given to clients for doing trades in Derivative Segment.
- Limits in derivative segment will be given on the basis of free credit balance and/or collateral / securities of the client available with us valued after hair cut, which will be done based on the type and nature of scrip, liquidity and volatility of the scrip, etc., from time to time.
- In case of excess limit is availed, the same will be regularized by the end of trading session / day. However, on a case to case basis, the excess limit may be allowed to be carried forward subject to penalty as levied by Regulators from time to time. We may from time to time depending on the market conditions, profile and history of the client, type and nature of the scrip, etc., may at our sole discretion and in accordance to the rules, regulation, bye-laws and guidelines of the Exchanges/SEBI, change the rate of haircut applicable on the securities/collateral, number of times the limit to be given in cash / derivatives segments and take such steps as we may deem necessary.

3. Brokerage Rate

The clients shall pay to the stock broker brokerage and statutory levies as agreed from time to time for transactions and for the services that stock broker rendered by us to the Clients. The stock broker shall not charge brokerage more than the maximum brokerage permissible as per the rules, regulations and bye-laws of the relevant stock exchanges and/or rules and regulations of SEBI.

4. Penalty / Delayed payment charges

- (a) As per the Rules, Regulations, Bye Laws, Circulars, Notices and guidelines prescribed by the Exchange / SEBI, the client's Pay-in obligations has to be cleared before the settlement / Pay-in date of the said transaction.
- (b) In case any client fails to make the said payment within the stipulated period then a penal interest @ 18% per annum and/or mutually agreed may be charged by us on such delayed payment till the time the said payment is cleared by the client.
- (c) The Company also may charge penalty as levied by Exchanges for short collection of margins from the clients



5. Right to sell client's securities or close client's position

- (a) The client shall be liable to fulfill their settlement / margin obligation.
- (b) In case the client fails to fulfill their obligations, we shall have the right to sell / liquidate / close out all or any of the client's position for non- payment of margins, outstanding debts or other amounts, etc., and adjust the proceeds of such sale / liquidation / close out, against the client's settlement / margin obligations.
- (c) Any and all losses and financial charges on account of such sale / liquidation / closing out shall be charged to and borne by the client themselves.
- (d) No separate intimation or notice shall be issued to the client for such sale / liquidation / closing out done on account of non-fulfillment of the obligation by the client.
- (e) We may at our sole discretion, square off any outstanding position of the client due to any restrictions in relation to volume of trading/outstanding business or margin stipulated by the Exchange, Clearing Corporation/Clearing House and/or Stock Broker/s and/or any other extraordinary event warranting such square off, without prior intimation to the client.

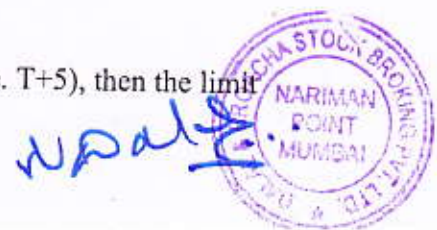
6. Right to sell clients' securities or close clients' positions on account of non-payment of dues:

It is client's obligation to settle the dues on T+2 day, failing which the debit comes under ageing. In case, the client falls short of providing funds / securities, D&B has the right to close the positions / sell the clients securities to the extent of ledger debits and / or to the extent of margin obligation with or without giving prior notice to client. D&B may liquidate the securities bought and/or collaterals given and/or securities lying in Demat account with POA and/or any other securities given by client in any other form for clearing the clients' obligations. During intraday exposure.

If MTM reaches at 70% of deposit, client will be put under risk reduction mode and will be asked to deposit funds via NEFT or RTGS. In case of failure to do so and if meanwhile MTM reaches at 80%, then position will be squared off by D&B by RMS team.

Securities purchased but not paid fully/partially will be transferred to Client Unpaid Securities Account (CUSA) as per SEBI directives. Such securities will be considered towards reporting of client's margin obligation. Similarly, in F&O segment under physical settlement criteria, in case of non- payment, the securities shall be transferred to CUSA A/c.

In case, the payment is not made within five days from the payout date (i.e. T+5), then the limit



will be blocked for further buying. Selling can be done through delivery mode (CNC product only). Further exposure will not be given unless previous debit is cleared. Clients will not be allowed to keep the ledger in debit beyond five trading days. Liquidation process will be initiated from D&B if client fails to clear the debit within T+5 days on any day before completion of T+7 days. Such square off will be done from the Unique Client Code (UCC) of the respective client.

Profit/loss on the sale transaction of the unpaid securities shall be transferred to/adjusted from the respective client account. Hence to avoid any square off due to non-payment, clients are advised to intimate D&B/Branch/AP with payment details or send an email on accounts@dalalbroacha.com. Clients are also advised to intimate well in advance about any square off/selling done directly by themselves/AP. D&B has a discretion to alter/change any of liquidation parameter defined in this policy on the basis of prevailing market conditions and/or any risk perception, with or without prior intimation and can use their discretion to grant permission to transfer the unpaid client securities from CUSA to directly in client's Demat account in case they deem fit, on case to case basis, considering various risk parameters of clients and prevailing market condition. In case of partial payment, D&B may retain full value of securities till the 5th trading day from the pay-out date and within such 5 days and based on risk parameters, transfer the unpaid client securities either to client's Demat account proportionately/fully or dispose-off the securities in proportion to the amount not received. Sale of securities lying in collateral account, based on client's instruction, can be considered towards unpaid securities, provided clear funds are received within such five trading days and there is no margin shortfall.

D&B will by default transfer securities from CUSA to client's Demat account for those clients whose ledger debit is below Rs.500/- without keeping it on hold or without liquidating the securities from CUSA, for operational convenience. Nevertheless, clients will have to clear the ledger debit as per exchange norms. Clients' securities lying in client collateral / collateral account will be released to clients along with the funds' settlement as per the running account authorization given by client (in every 30/90 days). Client may pledge the securities towards margin requirement in depository system in specific account opened for the purpose i.e. Client Securities Margin Account. These securities may be re-pledged to CC at the discretion of management. While doing the settlement, D&B may retain Entire pay-in obligation of funds outstanding at the end of the day on settlement of running account, of T day & T-1 day, Margin liability as on the date of settlement of running account in all segments and additional margins (maximum upto 125% of total margin liability on the day of settlement). The margin liability shall include the end of the day margin requirement excluding the MTM and pay-in obligation. Hence D&B may retain 225% of the total margin liability in all the segments across exchanges. Excess securities (in the form of margin pledge) or any cash equivalent collateral deposited with CC on behalf of me, after adjustment of the 225% of margin liability, need not be unpledged. The securities kept as margin will be delivered on T+2 working days i.e. after 48 Hours. ♥

D&B may priorities the securities lying in CUSA account for liquidation and then the leftover debits may be recovered from the clients Demat account where a POA is issued in favor of D&B. D&B may liquidate the client position in future and option segment in case of the mark to market (MTM) loss and/or margin shortfall. Securities lying in Client collateral/CUSA account may be

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liquidated based on FIFO basis (first in first out) or any other method considering market condition and /or client preference/instruction. Client will not be allowed to initiate buy trade in same security on same day, liquidation of which is initiated for being unpaid securities. Further exposure will not be allowed if old debit is not realized in full by way of receipt of clear funds or by way of payout. Clients may refer to FAQ issued by exchange and SEBI Circular on Handling of Clients' Securities

7. Shortage in obligation / Internal Shortage

- (a) If a client who has sold a particular scrip on T day does not deliver the shares latest by T+2 i.e. pay-in day, due to which internal shortage arises in that particular scrip, then such quantity of internal shortage will be purchased from the market on pay-in day as and when available in the market under "Auction Account" code. Thereafter, on the pay-in day, provisional debit will be given in the client account at T+1 day's closing rate. Further, we have started reporting internal shortage to exchange and following the exchange mechanism.
- (b) On pay-out day of securities purchased in the Auction Account code, provisional debit bill amount will be reversed and the client account will be debited with the amount at which the securities are purchased on T+2 day. Fines / penalties / charges may be levied on account of internal shortage to selling client.
- (c) Due to internal shortage on account of internal netting of trades, the buyer client shall receive late delivery of securities, for which the buyer shall have no claims / rights against the company for delay in delivery of securities. It may also be possible that the we may not be able to obtain the required securities due to market conditions, upon which, the buyer client's account will be credited and the seller client's account will be debited as per the close out rate provided by the exchange for the relevant Auction settlement. Provisional debit bill amount will be reversed in the seller client account.

The above procedure is subject to change from time to time, without any prior intimation, according to the change in settlement procedure of the Exchange.

8. Suspending or closing a Client's account

We have the policy of making clients account as **inactive** in our back office as well as trading system in case the client has not done any transaction for more than 24 months. The said client wants to make the account active again, then Re-KYC is mandatory with necessary documents.



Besides, a client's trading account can also be temporarily suspended or closed by us if a client has reached its exposure limit and the outstanding is not being cleared within the stipulated time period and/or client does not trade for continuous period of 12 months. Such accounts would be temporarily suspended till the time the client brings in additional deposit for increasing the exposure limit or clears the outstanding dues and request for reactivation.

9. RMS System:

- (a) Regular updation of client master data like financial statement and other information related to clients and their association with other brokers as provided by them. Updated Unique Client Code information in system, if any changes reported by our clients.
- (b) Back office system continuous monitor and places all information relating to our clients to front office trading system like debarred entity, PAN number of suspended entity by SEBI etc.
- (c) System based everyday issue contract notes, bills etc. to our clients as per SEBI/Exchanges circular. Placed a system at RMS to ensure quarterly/monthly settlement of funds/securities as per choice of the clients.
- (d) Monitoring on system and software based ensures that all circumstances of risk with respect to dealing of securities taken care in our RMS and for the compliances of SEBI/Exchanges.
- (e) No third party cheques are entertained/cash received from/issued to the clients. Cheques are collected from the clients and deposited in our client accounts. Cheques are accepted from the clients only if they are drawn on their designated bank accounts i.e. informed to us & maintained in our back office.
- (f) Purchase and sale of securities in case of B2, T, Ts and Z group securities. If the client takes interest in Z group and illiquid securities or securities of suspicious nature then we request the client to discontinue with us. Final decision will be with management.
- (g) Develop the system in RMS to identify the track record of client transactions and monitoring their nature, if there is any contradictory or suspicious transaction like circular, reversal, synchronized and manipulative. In such cases client can be questioned and if not satisfied with the reply, trading can be stopped to the client on immediate basis.



- (h) Develop a system at RMS to monitoring the order placing on behalf of client by Authorized persons, so that minimize the risk and compliant.
- (i) Daily basis monitoring is done at all levels i.e. branch, Authorised Person and HO by the Risk Management team & Key managerial personnel w.r.t. minimize risk factor at our end and ensure the compliance of rules and regulation.

10. Corrupt and Lost/Stolen Database of client:

The Risk Management team has closing monitor of databases of clients and every day make back-up file for day-trading log details of clients

11. Illiquid contracts:

In case of F & O segment, all far Month Option contracts of Nifty/Securities are not allowed to trade due to its illiquid nature, However if client still insist on trading in the said contracts the risk management team do take care that such transactions does not result in any sort of market manipulation.

The aforementioned policies and procedures have been framed out under various clauses mentioned in the Rules, Regulations, Bye-laws and guidelines prescribed by SEBI and the Exchanges as well as the amendments brought out from time to time. In case of any contravening clause framed herein, the relevant clause mentioned under the said Rules, Regulations, Bye-laws and guidelines of SEBI and the Exchanges shall overrule such contravening clause.

